

HEADLINE JUDGMENT

Note: 4 Aug figures are intraday prints; the last confirmed close is Monday 3 Aug. The integrity check clears — the 3 Aug row has refreshed with true closes, and four series that were dark in the last edition have backfilled. **Score RISES to 27/30 — political stress fires 4→5 on the two-close rule, the highest reading since 31 May and the first upgrade since 31 July.** The trigger fired on a backfill rather than on a new print: AUTMUSAG, the scored AAA pump series, was blank for 31 July when the last edition went out, and the extract has now filled it at **\$4.76 — a second consecutive confirmed close above the \$4.75 threshold** after the \$4.76 of 30 July. That is the sustained break the rule requires, and it is the same mechanism that fired US inflation on 31 July. The second development runs the other way and cancels yesterday's optimism. **The talks announced for 3 August did not convene.** Iran's foreign ministry spokesman Esmail Baghaei said flatly on Monday that 'we are not negotiating with the United States at this time'; US officials told CBS News that no new negotiations are planned, contradicting the President, who said the same day that talks were under way 'at the request of Iran' and called it Iran's 'last chance' before what he termed decapitation. No venue, no attendee list, no readout and no Omani confirmation could be sourced from any outlet. **The escalation downgrade candidate that this monitor carried for one edition is therefore revoked, not merely deferred** — which is precisely why hysteresis governs event channels as well as market channels. Baghaei also said the strait 'will in no way return to the status it was before February 28th', a line this monitor could not corroborate last week under a different attribution and can now source at Tier 1. Third, the dated supply test landed and it landed hard: **Treasury raised its July–September net marketable borrowing estimate to \$739bn from the \$671bn projected on 4 May, an increase of \$68bn**, with the refunding statement due Wednesday and the 30Y leg the week of 10 August, into a long end 17.74 bp above the May auction stop. Crude did not follow the diplomacy back up: Brent front-month prints \$81.92, up \$0.83 but still \$0.16 below last Tuesday. Five of six channels are now maxed. Only oil, at 2/5, can raise this number further. Sequencing 26 → 26 → 27.

1 · Live tape

Oil and natural gas — Bloomberg front-month / active

4 Aug 2026 readings are intraday prints from the Singapore morning. The 3 Aug row has refreshed and is a confirmed close; the integrity check clears. d/d is 4 Aug intraday vs the 3 Aug close; w/w is vs the 28 Jul close (five sheet-rows back); vs-pre-war is against the 27 Feb 2026 close. Restated continuation series (front-month CO2/CL2) in force. With the September Brent contract expired, the active COA references a new contract and the front-month/active gap remains wide; the scored CO2 continuation series is unaffected.

Benchmark	Intraday 4 Aug	Δ d/d	Δ vs pre-war close (27 Feb)	BBG ticker
Brent front-month	\$81.92 /bbl (H 82.00 / L 81.26)	+\$0.83 (−\$0.16 w/w)	from \$72.48 (+13.0%) — a \$9.44/bbl premium. A very narrow intraday range of 74 cents against Monday's \$2.24 and Friday's \$6.74: the market stopped trading headlines the moment the announced talks failed to produce one. Active COA prints \$84.63	CO2 Comdty (Close)
Brent · 3 Aug close (last confirmed)	\$81.09 /bbl	−\$6.84 vs the 31 Jul close \$87.93	\$13.91 below the \$95 trigger on a close basis ; \$8.61 above the \$72.48 downgrade anchor, the narrowest gap of the war since 10 Jul. The largest single-session decline since 25 May, and the lowest close since 10 Jul. Monday's close ran \$0.47 BELOW my Monday-morning snapshot — a small gap, and the opposite of Friday's record.	CO2 Comdty (Close)
WTI front-month	\$78.66 /bbl	+\$0.76 (+\$1.49 w/w)	from \$67.02 (+17.4%) — the CL2 artifact against the active contract persists, CLA prints \$81.06 against CL2's \$78.66	CL2 Comdty (Close)
Brent–WTI spread	\$3.26 /bbl	wider by \$0.07 on the day	\$3.57 on the active contracts (COA \$84.63 / CLA \$81.06). The spread has stayed near \$3 for two sessions after halving from \$6.44 on Friday's close — the Hormuz-specific premium that came out on the announcement has not gone back in, even though the announcement did not hold	derived
Henry Hub natural gas	\$2.768 /MMBtu	−\$0.013 (+\$0.067 w/w)	from \$3.06 (−9.6%) — US gas still BELOW pre-war after twenty-two weeks of war; the Hormuz/LNG-routing signature is intact and this remains a routing shock, not a global-energy shock	NGA Comdty (Close)
TTF Dutch gas (active)	€58.260 /MWh	+€0.755 (+€0.452 w/w)	from €31.23 (+86.6%) — European gas has now risen in two of the last three sessions and sits €5.39 below the 24 Jul war record of €63.65. TTF gave back less of the de-escalation trade than crude did and has taken more of it back since	TZTA Comdty (Close)
Japan/Asia LNG (3 Aug close — no 4 Aug print)	¥3,421	−¥19 vs the 31 Jul ¥3,440	from ¥1,669 (+105.0%) — the 3 Aug print has BACKFILLED at ¥3,421 , resolving the blackout flagged last edition; there is no 4 Aug print, flagged and NOT carried forward. Hormuz still moves roughly a fifth of global LNG	JGLA Comdty (Close)

US Treasuries and inflation expectations — Bloomberg

4 Aug 2026 yields are intraday. The 3 Aug close is confirmed and is the reading on which every trigger and Stage-4 test below is judged. d/d is vs the 3 Aug close; w/w vs 28 Jul. Monday's US session tracked the morning snapshot closely — the reconciliation in section 4 is the smallest the monitor has recorded in a fortnight.

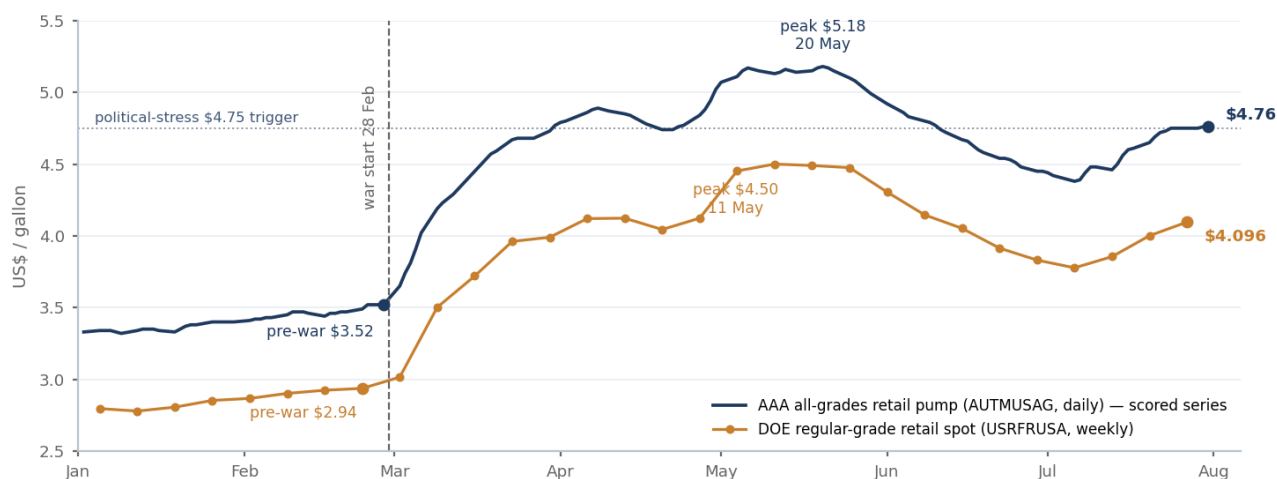
Tenor	Yield (%) — intraday 4 Aug	Δ d/d (bp)	Δ w/w (bp)	Δ vs pre-war (bp)	BBG ticker
2-year UST	4.25	+1.2	−3.7	+87.5 (from 3.37%) — the front end is flat while the long end holds its war highs	USGG2YR Index
5-year UST	4.40	+0.9	+2.6	+89.4 (from 3.50%)	USGG5YR Index

Tenor	Yield (%) — intraday 4 Aug	Δ d/d (bp)	Δ w/w (bp)	Δ vs pre-war (bp)	BBG ticker
10-year UST	4.69	+1.0	+8.0	+74.8 (from 3.94%) — the 3 Aug close of 4.6755% keeps the 4.65% Stage-4 leg satisfied on a fourth consecutive close ; this morning's 4.6858% is 3.58 bp above it on a fifth session. The war record is the 4.7347% of 31 Jul	USGG10YR Index
30-year UST	5.23	+0.5	+14.4	+62.2 (from 4.61%) — the 3 Aug close of 5.2274% is 17.74 bp above the 13 May auction stop and keeps the 5.20% Stage-4 leg satisfied on a fourth consecutive close. This morning's 5.2327% is 3.27 bp above that leg and 23.27 bp above the 5.00% downgrade line. The war record is the 5.2724% of 31 Jul	USGG30YR Index
2s10s spread	+43.4 bp	−0.0	+11.7	−12.2 (still flatter than pre-war) — but holding within a basis point of Friday's post-May steepest and 19.2 bp off the 24 Jun war low of +24.25 bp. The bear steepener has stalled rather than reversed	USYC2Y10 Index
10Y breakeven inflation	2.260	−0.2	+6.5	+0.3 (from 2.2569%) — spot compensation has come back to sit almost exactly on its pre-war anchor after the 2.2846% close of 31 Jul, its highest since 3 Jul. The forward has not followed it down	USGGBE10 Index
5Y5Y forward inflation	2.338	0.0	+7.1	+19.6 (from 2.14%) — the 3 Aug close of 2.3376% is a FIFTH consecutive close above the 2.30% trigger that fired this channel 4→5 on 31 Jul, and this morning prints the identical 2.3376%. Long-run inflation compensation has not given back any of the war-record 2.3597%	USGG5Y5Y Index
SOFR (blank 3 and 4 Aug)	3.66	—	no print	the 31 Jul print has BACKFILLED at 3.66 , up 1 bp from 30 Jul; 3 and 4 Aug are blank, flagged and NOT carried as fresh	SOFRRATE Index

Cross-asset stress and political-transmission gauges — Bloomberg

Gauge	Latest	As of	Δ vs pre-war	Interpretation
DXY	100.01	4 Aug intraday	+2.40 (from 97.61)	Up 0.11 this morning and back above 100 for the first time since 29 July, having closed 99.897 on Monday. The dollar has stabilised exactly as the diplomatic track failed, which is consistent with the fortnight's pattern: the currency sold off while a deal looked possible and firmed when it stopped looking possible. It remains 1.41 below last Tuesday.
MOVE	80.48	3 Aug close (no 4 Aug print)	+7.10 (from 73.38)	Down 2.54 from Friday's 83.02 , giving back part of the largest one-day rise of the past month. Rates volatility is still 7.10 pts above pre-war and 5.48 pts ABOVE the 75 line that forms the second leg of the Treasury downgrade , so that downgrade remains unavailable. It is 49.52 pts below the 130 Stage-4 Threshold C and well under the 115.02 war high of 26 March. There is no 4 August print.
VIX	15.86	3 Aug close (no 4 Aug print)	−4.00 (from 19.86)	Down 0.13 to its lowest since 10 July and now a full four points BELOW pre-war, while rates volatility sits 7.10 points above it. The divergence survived the failure of the talks intact, which is the more remarkable fact: equity volatility did not react at all to a negotiation that both governments now describe differently.
AAA gasoline	\$4.76 /gal	31 Jul print (3–4 Aug blank)	+\$1.24 (from \$3.52, +35.2%)	Political-stress score reference. The 31 Jul print has BACKFILLED at \$4.76 — a SECOND consecutive close above the \$4.75 trigger , following the \$4.76 of 30 Jul and four straight sessions exactly on the line. That is the sustained break the rule requires and the political channel fires 4→5 this edition. The series is blank for 3 and 4 Aug, flagged and not carried.
DOE gasoline	\$4.096 /gal	27 Jul weekly print	+\$1.16 (from ~\$2.94, +39.4%)	Corroboration only; the weekly print due 3 Aug has not appeared in the extract or on the EIA release page, which still shows the week to 27 Jul. GasBuddy's independent national average was \$4.05 on 3 Aug, down 0.8c on the week, while its diesel average rose 7.1c to \$5.326 — the same gasoline-stalls, diesel-runs divergence the EIA series showed to 27 Jul.

US retail gasoline — the two tracked series, 2026 year-to-date



AUTMUSAG (AAA all-grades retail pump, daily) is the political-stress score reference (pre-war \$3.52, peak \$5.18, latest confirmed print \$4.76 on 31 Jul; 3 and 4 Aug blank); USRFRUSA (DOE regular-grade retail spot, weekly) is the complementary gauge (pre-war ~\$2.94, peak \$4.50, latest \$4.096 for the week of 27 Jul). The dotted line is the \$4.75 political→5 threshold. The scored series printed exactly \$4.75 on 24, 27, 28 and 29 Jul, then \$4.76 on 30 Jul and \$4.76 again on 31 Jul on this extract's backfill — two consecutive closes through the line, which fires the channel. GasBuddy's separately published national average was \$4.05 on 3 Aug against \$4.058 a week earlier, so the corroborating retail series is stalling while diesel runs: GasBuddy has diesel up 7.1 cents on the week and EIA had on-highway diesel up 17.9 cents in the week to 27 Jul.

Strait operational state

Indicator	Current reading	Source
Strait closed · day 156	Closed since 28 Feb. Traffic remains at crisis levels and the trackers are not directly comparable. On an all-crossings basis Kpler counted 106 crossings by 96 distinct vessels in the week to 2 Aug against 98 the week before, up 8%, with 11 on 1 Aug and 9 on 2 Aug; 43 of the week's crossings, about 41%, were classed 'route undetermined' against roughly 49% the week before. Windward, on 1 Aug, logged 19 crossings of which 6 were dark and none sanctioned, and recorded 1,130 GPS-jammed vessels in the Gulf, up 173% on the seven-day average. Lloyd's List Intelligence has not published since 29 Jul; its last brief put the week to 26 Jul at 39 transits against 82, with 70% untraceable on AIS and inbound Gulf traffic down more than 90%. IMF PortWatch's latest record is 23 Jul at 10 vessels against an 88/day baseline. War-risk cover is quoted at 7.5–10% of hull value against 1–3% pre-escalation.	Kpler via Foreign Policy Journal / Windward / Lloyd's List Intelligence / IMF PortWatch via straits.live
THE ANNOUNCED 3 AUGUST TALKS DID NOT CONVENE — THE TWO GOVERNMENTS NOW CONTRADICT EACH OTHER	No outlet could source a session, a venue, an attendee list, a readout or an Omani confirmation. Iran's foreign ministry spokesman Esmail Baghaei said at his Monday press conference: 'We are not negotiating with the United States at this time,' adding that the Iranian delegation 'is not going anywhere, and is not expecting anyone to visit'; Foreign Minister Araghchi was in Iraq for Arbæen. US officials separately told CBS News that no new negotiations with Iran are planned. President Trump said the same day that 'we're talking, and we're talking at the request of Iran, backed by Saudi Arabia, backed by UAE and backed by Qatar,' called it 'a last chance for them to sign a good document', said he was under no time constraint, and said he wanted to give Iran 'every last chance before decapitation.' He also said the strait could be 'open literally by tomorrow, completely open.'	CBS News / Euronews / The National / ABC News / CNN / Bloomberg / The Hill
Iran hardens the terms: the strait 'will in no way return' to its pre-war status	Baghaei said the Strait 'will in no way return to the status it was before February 28th'; that the Oman track concerns a TEMPORARY route and is 'a necessary but not sufficient condition' for reopening; and that reopening requires mechanisms protecting Iranian sovereignty. ABC News describes the concept as a single transit corridor replacing the divided northern and southern routes, with the toll — who levies it and at what rate — still disputed. Note: the 31 Jul edition attributed a similar line to Gharibabadi and the 3 Aug edition withdrew it as uncorroborated; it is now sourced at Tier 1 to Baghaei on 3 Aug and is used on that basis. No Iran–Oman corridor agreement has been signed; the only instrument on record is the 23 Jun joint statement establishing a working group.	The National / ABC News / Oman Ministry of Foreign Affairs
No new confirmed strike, but the strike option is documented and on the table	CENTCOM has issued no strike release since 29 Jul, and no Tier 1 outlet reported a new US or Israeli strike on Iran on 3 or 4 Aug. The planning is now corroborated beyond a single outlet: CBS News reported on 31 Jul that the US and Israel were preparing strikes on Iranian power plants and refineries, potentially including electricity systems across Tehran, with Pentagon spokesman Sean Parnell on the record that the department is 'locked and loaded, ready to execute the President's directives' and the President yet to give final go orders. The 'roughly two-week campaign' duration carried in earlier editions is NOT corroborated — CBS describes a weekend-scale window. UKMTO's report of an explosion beside a tanker about 20 nm north-east of Khasab appears in Gulf outlets dated 3 Aug with the same particulars as the 2 Aug report; it is treated as ONE incident, not two.	CENTCOM / CBS News / The Hill / Jerusalem Post / Sharjah24 / UKMTO
Treasury raises Q3 borrowing by \$68bn; OPEC+ delivers September barrels	The US Treasury said on 3 Aug it expects to borrow \$739bn of net marketable debt in July–September, \$68bn above the \$671bn projected on 4 May, and \$628bn in October–December, assuming cash balances of \$950bn at end-September and \$850bn at end-December; excluding a higher starting balance the underlying increase is \$87bn. The refunding statement follows on Wednesday 5 Aug. On the physical side, the OPEC+ eight confirmed the September increase of 188k b/d with a country split (Saudi +62k, Russia +62k, Iraq +26k, Kuwait +16k, Kazakhstan +10k, Algeria +6k, Oman +5k); the 67th JMMC of 2 Aug 'emphasised the importance of protecting maritime routes and energy infrastructure from attacks.' Aramco's 400k b/d Jizan complex is targeted to restart about 15 Aug; Abqaiq and Damietta remain unreported since late July. ISM manufacturing for July came in at 55.6 against 54.0 expected, with the prices index easing to 71.1.	Reuters / MT Newswires / US Treasury / OPEC / Rigzone / Reuters via IIR / ISM

2 · US economic shock — analysis with bond yields

The shock rises to 27/30 on a single channel move, and the move came from a backfill rather than from a new print. AUTMUSAG, the AAA pump series that carries political stress, was blank for 31 July when the last edition was written; this extract fills it at \$4.76, a second consecutive confirmed close above the \$4.75 trigger, and the channel fires 4→5 on exactly the two-close rule that fired US inflation on 31 July. Everything else in the market tape was quiet: Monday's closes came in within a basis point or two of the Singapore-morning snapshot across the curve, Brent closed 47 cents below its morning print, and Tuesday's intraday range in Brent is 74 cents. The news, by contrast, was not quiet. The negotiations announced for Monday did not take place; Iran's foreign ministry said on the record that it is not negotiating with the United States; US officials told CBS that no talks are planned; and the President said talks were under way and described the alternative as decapitation. That is not an ambiguous readout, it is an absence of one, and the escalation downgrade candidate opened last edition is closed. Against that, the dated supply test arrived: Treasury raised its Q3 borrowing estimate by \$68bn into a long end sitting 17.74 bp above the May auction stop, with the refunding statement tomorrow.

2.1 · Bond-yield transmission

4 Aug yields are intraday; the 3 Aug close is confirmed and every trigger runs off it. One channel moved: political stress 4→5. Score rises to 27/30.

(i) Political stress — UPGRADED 4→5, the trigger fired by a backfill. This is the move of the edition and it needs to be stated precisely, because it was decided by data that arrived rather than by data that changed. AUTMUSAG printed exactly \$4.75 on 24, 27, 28 and 29 July, then \$4.76 on 30 July — its first reading through the \$4.75 threshold and its highest since 10 June. On 31 July the series went blank and the 3 August edition held the channel at 4, ARMED, because one close above a trigger is not a sustained break. This extract has backfilled 31 July at **\$4.76**. That is a second consecutive confirmed close above the trigger, which is the definition of a sustained break this monitor has applied consistently — it is the identical construction that fired US inflation 4→5 on 31 July after two consecutive closes above 2.20%, and the discipline that stopped the oil channel whipsawing on 25–26 June. The channel therefore moves to 5/5 and the score to 27/30. Two qualifications belong with it. First, the series is blank again for 3 and 4 August, so the upgrade rests on 30 and 31 July and not on anything more recent. Second, the corroborating retail series is stalling rather than accelerating: GasBuddy's national average was \$4.05 on 3 August, down 0.8 cents on the week. What is NOT stalling is diesel — GasBuddy has it up 7.1 cents on the week to \$5.326 and EIA had on-highway diesel up 17.9 cents in the week to 27 July against gasoline's 9.5. The pass-through constraint remains refining rather than crude, which is why Brent at \$81 does not disarm this channel. No federal intervention — SPR release, export limit, waiver or gouging action — is confirmable in the window.

(ii) Escalation risk — held at 5 (max), and the downgrade candidate is REVOKED rather than deferred. The 3 August edition opened the first live downgrade candidate this channel has had since 9 July, on the strength of a cancelled US strike package and an announced negotiation, and deliberately did not take it because an announcement is not a stand-down. That judgment is now vindicated by the outcome rather than by the reasoning. The talks did not convene. Iran's foreign ministry spokesman said on the record that Tehran is not negotiating with Washington and that its delegation is going nowhere; the foreign minister was in Iraq; US officials told CBS News that no negotiations are planned; and no outlet could source a venue, an attendee list, a readout, or a confirmation from Oman. The President's own account — that talks were under way at Iran's request — is contradicted by his own officials and by Tehran simultaneously, and he paired it with an explicit threat of decapitation. Two further facts push the same way. CBS News independently corroborated the reporting that the US and Israel are preparing strikes on Iranian power plants and refineries, with a named Pentagon spokesman on the record that the department is 'locked and loaded' and only the final order outstanding — so what was a single-outlet Al Jazeera item is now a multi-outlet one, though the 'two-week campaign' duration is not corroborated. And Iran hardened its terms: Baghaei said the strait 'will in no way return to the status it was before February 28th' and that an Oman route deal is necessary but not sufficient to reopen it. The channel stays pinned at its maximum and the path to a downgrade is now longer than it was 24 hours ago.

(iii) Treasury — held at 5 (max), and the supply test has arrived. The 30Y closed 5.2274% on 3 August and the 10Y 4.6755%, keeping both Stage-4 legs satisfied on a fourth consecutive close; this morning's 5.2327% and 4.6858% carry them to a fifth session. Both downgrade legs continue to fail: the 30Y is 22.74 bp above the 5.00% line on the close, and MOVE at 80.48 is 5.48 pts above the 75 leg even after giving back 2.54 from Friday's spike. The material development is fiscal, not monetary. **Treasury said on Monday it now expects to borrow \$739bn of net marketable debt in July–September, \$68bn more than the \$671bn it projected on 4 May**, and \$628bn in October–December, on assumed cash balances of \$950bn at end-September and \$850bn at end-December; Reuters reports that stripping out a higher-than-assumed starting balance leaves an underlying increase of \$87bn, attributed to lower projected cash flows. The second quarter closed with \$190bn borrowed and a \$919bn cash balance, \$1bn above plan. The refunding statement follows at 8:30am ET on Wednesday 5 August against 6 May guidance holding coupon sizes at 3Y \$58bn / 10Y \$42bn / 30Y \$25bn 'for at least the next several quarters', and the 30Y leg auctions in the week of 10 August. A long end 17.74 bp above the May auction stop now has a quantified increase in supply to absorb, and the question the auction answers is no longer hypothetical.

(iv) US inflation impulse — held at 5 (max), and still not fading. 5Y5Y forward inflation closed at 2.3376% on 3 August, a fifth consecutive close above the 2.30% trigger, and prints the identical 2.3376% this morning. The series has now run 2.3302%, 2.3303%, 2.3597%, 2.3376% and 2.3376% across five sessions; it gave back 2.21 bp from the war record and no more. The 10Y breakeven has behaved differently and the difference is informative: after closing 2.2846% on 31 July, its highest since 3 July, it closed 2.2622% on Monday and prints 2.2603% now, back to within a third of a basis point of its 2.2569% pre-war anchor. Near-term compensation has normalised while the forward has not, which is the signature of a market pricing a persistent policy-credibility problem rather than a transitory energy shock — and it is worth noting that this happened while Brent fell nearly \$7 on Monday and the ISM prices index eased to 71.1 from 73.0. The downgrade, 5Y5Y sustained at or below the 2.142% anchor, is 19.56 bp away and not in play. At 5/5 the channel can only subtract.

(v) Oil — held at 2, and this is the only channel left that can raise the score. The last confirmed close is \$81.09 (3 August), \$13.91 below the \$95 upgrade trigger and \$8.61 above the \$72.48 downgrade anchor — the narrowest that downgrade gap has been since 10 July. This morning Brent prints \$81.92, up \$0.83, in a 74-cent range. What is notable is what did not happen: the diplomacy that took \$6.84 out of Brent on Monday turned out not to exist, and Brent recovered 83 cents. The \$6.44 Brent–WTI spread that collapsed to \$3.14 on the announcement has stayed near \$3. The market has priced the OPEC+ September increment and the removal of the immediate strike risk, and has not re-priced the failure of the talks. The physical case for a higher number is unchanged and arguably firmer: effective OPEC+ spare capacity was roughly 0.17 mb/d on the IEA's July estimate, so September's 188k b/d is a quota rather than a cargo; Jizan's 400k b/d is out to about 15 August; Abqaiq still shows unexplained burn scars; Damietta's status since the 29–30 July strike is still unreported; and the strait is closed on

day 156 with route-undetermined traffic at roughly 41% of crossings. The channel stays at 2 because \$81.09 is not \$95. But with five of six channels now maxed, oil is the only one that can move this score up, and the downgrade leg it acquired last edition — a mediated pause — has just been withdrawn.

(vi) Maritime denial — held at 5 (max). The strait is closed on day 156 and Iran has now stated at Tier 1 that it will not return to its pre-war status. Kpler's all-crossings series shows the week to 2 August at 106 crossings by 96 vessels against 98 the week before, an 8% rise, with route-undetermined traffic easing from about 49% to about 41%; that is a marginal improvement from a crisis baseline and nothing like the 25%-of-normal-for-ten-sessions the downgrade requires. Windward logged 19 crossings on 1 August with 6 dark, against roughly 140 a day pre-crisis, and 1,130 GPS-jammed vessels in the Gulf, up 173% on its seven-day average. No corridor agreement has been signed; the only instrument on record remains the 23 June Oman–Iran joint statement establishing a working group.

2.2 · What would push the shock to Stage 4

Stage 4 is a credit/auction event. Threshold B is satisfied on four consecutive confirmed closes and the supply number is now published rather than assumed.

Threshold A · 13 May 30Y auction, cleared 5.050% — the test is now quantified. Historical benchmark; the 9 July re-opening cleared 5.06% with a 0.3 bp stop-through. The 3 August close of 5.2274% is **17.74 bp above the May stop**, narrower than Friday's war-widest 22.24 bp but still the second-widest week of the war. On Monday Treasury published the number this monitor has been waiting for: **net marketable borrowing of \$739bn for July–September against the \$671bn projected on 4 May, an increase of \$68bn**, with \$628bn guided for October–December and assumed cash balances of \$950bn at end-September and \$850bn at end-December. Reuters attributes the rise to lower projected cash flows only partly offset by a higher starting balance, and puts the underlying increase at \$87bn. April–June closed with \$190bn borrowed and a \$919bn end-June balance, \$1bn above the May assumption. The refunding statement lands at 8:30am ET on Wednesday 5 August; the 6 May guidance held coupon auction sizes at 3Y \$58bn / 10Y \$42bn / 30Y \$25bn and promised no increase 'for at least the next several quarters.' If that guidance survives a \$68bn upgrade to the quarter's borrowing need, the bill market absorbs it; if it does not, the 30Y leg in the week of 10 August is the first coupon auction of a larger programme into a long end already at war highs. That is the specific sequence that would make Threshold A live rather than historical.

Threshold B · 30Y above 5.20% with 10Y above 4.65% — SATISFIED on four consecutive confirmed closes. 29 July: 5.2007% / 4.6773%. 30 July: 5.2135% / 4.6733%. 31 July: 5.2724% / 4.7347%, both war records. 3 August: 5.2274% / 4.6755%. Monday cleared the legs by 2.74 bp and 2.55 bp, against 7.24 bp and 8.47 bp on Friday — a narrower but still unambiguous pass, and the point of a persistence threshold is persistence rather than margin. This morning's 5.2327% and 4.6858% keep both satisfied on a fifth session. The qualification is unchanged: the threshold warns that the long end is repricing in a way that historically precedes an auction or credit event; it is not a Stage-4 event in itself. What has changed is that the event it warns about now has a date and a size. The mechanism arming it remains domestic fiscal and monetary credibility rather than a Hormuz headline — which is why a failed negotiation moved crude 83 cents and moved the 30Y half a basis point.

Threshold C · MOVE above 130. Far off, and it eased this session. The index closed at 80.48 on 3 August, down 2.54 from Friday's 83.02, its highest since 19 May. That leaves 49.52 pts to the threshold and it remains well under the 115.02 war high of 26 March, so C is not close. Two observations belong with it anyway. First, at 80.48 the index is still 5.48 pts above the 75 line that forms the second leg of the Treasury downgrade, so the same reading that keeps C remote keeps that downgrade unavailable. Second, a fall in rates volatility on the session before a refunding statement is not obviously reassurance; it is the market declining to pre-position. There is no 4 August print, and the number is flagged rather than carried as fresh.

2.3 · Cross-asset

The cross-asset signature this session is stillness in the market and rupture in the news, which is close to the inverse of Friday. Monday's closes landed within two basis points of the Singapore-morning snapshot everywhere on the curve: the 30Y at 5.2274% against 5.2370% published, the 10Y at 4.6755% against 4.6939%, 5Y5Y at 2.3376% against 2.3367%. MOVE eased 2.54 to 80.48, VIX 0.13 to 15.86 and its lowest since 10 July, and the dollar firmed back above 100 for the first time since 29 July. Brent closed \$81.09, 47 cents below its morning print, and this morning trades in a 74-cent range at \$81.92 — a market with nothing to price. Yet in the same 24 hours the announced US–Iran negotiation failed to materialise and the two governments issued mutually exclusive accounts of whether it exists, Iran stated that the strait will not return to its pre-war status, and the US Treasury told the market it needs to borrow \$68bn more this quarter than it said in May. Equity and rates volatility both fell through that. Henry Hub at \$2.768 remains 9.6% BELOW pre-war, so the routing signature is intact and this is still not a global-energy shock. The reading to take is not that the news stopped mattering; it is that the market has stopped trading Hormuz headlines and started waiting for Wednesday.

3 · Shock score

Total: 27/30 — CRISIS band. Band thresholds: 0–7 watch · 8–14 stress · 15–21 systemic-risk watch · 22–30 crisis.

Channel	Score	Rationale	Triggers
Maritime denial	5/5	Held at 5 (max). Strait closed to commercial traffic, day 156. Kpler's all-crossings series has the week to 2 Aug at 106 crossings by 96 vessels against 98 the week before (+8%), with route-undetermined traffic easing from ~49% to ~41%; 11 crossings on 1 Aug and 9 on 2 Aug. Windward logged 19 crossings on 1 Aug (6 dark) against ~140 a day pre-crisis and 1,130 GPS-jammed vessels in the Gulf, +173% on its 7-day average. Baghaei said on 3 Aug the strait 'will in no way return to the status it was before February 28th'. No corridor agreement signed.	↑ at max. ↓ verified reopening (escorted convoys) with traffic above 25% of normal for 10 sessions → to 3–4. A signed corridor agreement starts that clock; an announcement does not.
Oil price shock	2/5	Held at 2 — and now the ONLY channel that can raise the score. Last confirmed close \$81.09 (3 Aug), \$13.91 below the \$95 trigger and \$8.61 above the \$72.48 anchor, the narrowest since 10 Jul; intraday \$81.92, up \$0.83 in a 74-cent range. Monday's \$6.84 fall priced a negotiation that did not take place, and only 83 cents of it has come back. Physical supply unchanged: effective spare capacity ~0.17 mb/d, Jizan out to ~15 Aug, Abqaiq unexplained.	↑ Brent above \$95 sustained → to 3. ↓ mediated pause + close at/below the \$72.48 anchor → to 1. The pause leg is WITHDRAWN this edition — the talks did not convene.
US inflation impulse	5/5	Held at 5 (max). 5Y5Y closed 2.3376% on 3 Aug, a FIFTH consecutive close above the 2.30% trigger that fired this channel 4→5 on 31 Jul, and prints the identical 2.3376% intraday. It has given back 2.21 bp from the 2.3597% war record and no more. The 10Y breakeven, by contrast, has returned to within 0.3 bp of its 2.2569% pre-war anchor: near-term compensation normalising while the forward holds is a credibility signature, not an energy one.	↑ at max. ↓ 5Y5Y sustained at/below the 2.142% pre-war anchor → to 4 (19.56 bp away on the last close).
Treasury stress	5/5	Held at 5 (max). The 30Y closed 5.2274% and the 10Y 4.6755% on 3 Aug, keeping both Stage-4 legs satisfied on a FOURTH consecutive close; intraday 5.2327% / 4.6858% carries them to a fifth session. The 30Y is 17.74 bp above the 13 May auction stop. Treasury raised its Q3 net marketable borrowing estimate to \$739bn from \$671bn , with the refunding statement on 5 Aug and the 30Y leg the week of 10 Aug. MOVE eased 2.54 to 80.48.	↑ at max. ↓ 30Y close under 5.00% with MOVE under 75 sustained → to 4. Both legs fail by 22.74 bp and 5.48 pts.
Political stress	5/5	UPGRADED 4→5 . AUTMUSAG has BACKFILLED 31 Jul at \$4.76 — a second consecutive confirmed close above the \$4.75 trigger after the \$4.76 of 30 Jul and four sessions exactly on the line. That is the sustained break the rule requires, on the identical construction that fired US inflation on 31 Jul. 3 and 4 Aug are blank, flagged and not carried. Corroboration is mixed: GasBuddy's national average fell 0.8c on the week to \$4.05 while its diesel average rose 7.1c to \$5.326 — refining, not crude, remains the binding constraint.	↑ at max. ↓ sustained retreat toward the \$3.52 pre-war level → to 4 then 3. \$1.24 above the anchor.
Escalation risk	5/5	Held at 5 (max) — and the downgrade candidate opened last edition is REVOKED, not deferred. The talks announced for 3 Aug did not convene: Baghaei said 'we are not negotiating with the United States at this time' and that Iran's delegation is going nowhere; US officials told CBS no negotiations are planned; Trump said talks were under way at Iran's request and called it a last chance before 'decapitation'. CBS corroborated US/Israeli planning for strikes on Iranian power plants and refineries with the Pentagon on the record as 'locked and loaded'.	↑ at max. ↓ mediated stand-down + talks resume → to 4–3. Requires a session to actually take place, be confirmed by the mediator, and hold across a sustained window with no new strikes.
TOTAL	27/30	CRISIS band — UP one point, the highest reading since 31 May . Political stress fired 4→5 on the two-close rule when AUTMUSAG backfilled 31 Jul at \$4.76. FIVE of six channels are now maxed and only oil, at 2/5, can raise this number further — a three-point range in a thirty-point scale. The one live downgrade candidate the monitor carried has been withdrawn because the negotiation it rested on did not happen.	

4 · What's changed since the last edition (3 Aug AM → 4 Aug AM)

Score rises to 27/30 on the political-stress upgrade. The announced talks did not convene. Treasury raises Q3 borrowing by \$68bn. Four dark series backfill. Source: Bloomberg unless stated.

AUTMUSAG backfilled 31 July at \$4.76 — the second consecutive close through the political trigger, and the channel fires 4→5.

The scored AAA pump series printed exactly \$4.75 on 24, 27, 28 and 29 July, \$4.76 on 30 July — its first reading through the \$4.75 threshold and its highest since 10 June — and was blank for 31 July when the last edition went out. This extract fills 31 July at \$4.76. Two consecutive confirmed closes above a trigger is the sustained break the rule requires, and it is the same construction that fired US inflation 4→5 on 31 July. Political stress moves to 5/5 and the score to 27/30. Source: Bloomberg.

The talks announced for 3 August did not convene, and the two governments now contradict each other in public. Iran's foreign ministry spokesman Esmaeil Baghaei told his Monday press conference: 'We are not negotiating with the United States at this time,' adding that Iran's delegation 'is not going anywhere, and is not expecting anyone to visit'; Foreign Minister Araghchi was in Iraq for Arbæen. US officials told CBS News that no new negotiations are planned. President Trump said the same day that talks were under way 'at the request of Iran, backed by Saudi Arabia, backed by UAE and backed by Qatar', called it 'a last chance for them to sign a good document' and said he wanted to give Iran 'every last chance before decapitation'. No venue, attendee list, readout or Omani confirmation could be sourced. Source: CBS News / The National / Euronews / ABC News / CNN / The Hill.

The escalation downgrade candidate is revoked — the first time this monitor has opened and closed one in consecutive editions.

The 3 August edition opened the channel's first live downgrade since 9 July and deliberately did not take it, on the ground that an announcement is not a stand-down. The talks did not happen. Had the channel been moved on the announcement, it would have had to be

reversed within a session — the 25–26 June error repeated in the opposite direction. The rule that prevented it is recorded in section 9. Source: as above.

Treasury raised its July–September borrowing estimate to \$739bn, \$68bn above the May projection. The estimate published Monday 3 August puts net marketable borrowing at \$739bn for July–September against the \$671bn projected on 4 May, and \$628bn for October–December, assuming cash balances of \$950bn at end-September and \$850bn at end-December. Reuters attributes the increase to lower projected cash flows only partly offset by a higher starting balance and puts the underlying rise at \$87bn. April–June closed with \$190bn borrowed and a \$919bn end-June balance. The refunding statement follows at 8:30am ET on Wednesday 5 August; the 30Y leg auctions the week of 10 August. Source: Reuters / MT Newswires / US Treasury.

Iran hardened its terms on the strait, and the line this monitor withdrew last week is now sourceable at Tier 1. Baghaei said on 3 August that the Strait ‘will in no way return to the status it was before February 28th’, that the Oman track concerns a temporary route and is ‘a necessary but not sufficient condition’ for reopening, and that reopening requires mechanisms protecting Iranian sovereignty. The 31 July edition attributed a similar line to Gharibabadi and the 3 August edition withdrew it as uncorroborated; it is restored here on a Tier 1 attribution to Baghaei. ABC News describes the corridor concept as a single transit route replacing the divided northern and southern corridors, with the toll still disputed. Source: The National / ABC News.

Four dark series backfilled — and one of them decided the score. The 3 August edition flagged JGLA, AUTMUSAG and SOFR as running dark, with MOVE and VIX carried as Friday closes. This extract fills AUTMUSAG for 31 July at \$4.76, SOFR for 31 July at 3.66, JGLA for 3 August at ¥3,421, and MOVE and VIX for 3 August at 80.48 and 15.86. AUTMUSAG and SOFR remain blank for 3 and 4 August and JGLA for 4 August. This is the second consecutive month in which a \$9.8-flagged blackout has resolved on backfill within two sessions. Source: Bloomberg.

The strike option is corroborated beyond a single outlet, with the Pentagon on the record. CBS News reported on 31 July that the US and Israel were preparing strikes on Iranian power plants and refineries, potentially including electricity systems across Tehran, with Pentagon spokesman Sean Parnell stating the department is ‘locked and loaded, ready to execute the President’s directives’ and the President yet to give final go orders. The Hill and the Jerusalem Post carried the same reporting. The ‘roughly two-week campaign’ duration carried in earlier editions is NOT corroborated — CBS describes a weekend-scale window — and that qualifier is corrected here. Source: CBS News / The Hill / Jerusalem Post.

Correction: the Iraqi militia deadline is corroborated above Tier 3, and there are two dates, not one. The 3 August edition demoted this item to Tier 3. Rudaw reported on 29 July that the Islamic Resistance in Iraq set 7 August for Iraqi government bodies to act on disarmament demands, with any response deferred until after Arbāeen; Ynetnews reported the same day that Kataib Hezbollah gave Baghdad until 6 August. Both are above Tier 3 and appear to be related but distinct ultimatums. The trigger event is confirmed: US–Saudi strikes on Popular Mobilization Forces in Diyala killed 20 including Iranian advisers, and CENTCOM issued a release on 28 July. Source: Rudaw / Ynetnews / CENTCOM.

Monday’s reconciliation was the smallest in a fortnight — the opposite of Friday’s record gap. The 3 August close came in within two basis points of the Singapore-morning snapshot across the curve and 47 cents below it in Brent. Friday’s gaps were \$1.97 and 7.59 bp. The lesson is not that the snapshot is reliable but that its error is regime-dependent: it is large when the US session has news to trade and small when it does not. Source: Bloomberg.

OPEC+ published the September country split; ISM manufacturing beat; the EIA weekly is still to come. The 188k b/d September increase breaks down as Saudi +62k, Russia +62k, Iraq +26k, Kuwait +16k, Kazakhstan +10k, Algeria +6k, Oman +5k; the 67th JMMC of 2 August emphasised ‘protecting maritime routes and energy infrastructure from attacks’ and the next meetings are 6 September and 4 October. ISM manufacturing for July printed 55.6 against 54.0 expected, with production at 58.5 (highest since November 2021), employment at 52.8 (first expansion in 33 months) and prices easing to 71.1. No new EIA Weekly Petroleum Status Report has been released — the next is due 5 August, and the 24 July print stands with SPR at 307.7 mb after a 3.7 mb draw. Source: Rigzone / OPEC / ISM / EIA.

5 · Scenario map · next 7 to 30 days

Scenario	P	Description	Market path
Return to full war	40%	Higher, and decisively the modal path again. The negotiation that justified last edition's fall never took place; the President paired his account of it with an explicit threat of 'decapitation' and a 'last chance' framing; and US/Israeli planning for strikes on Iranian power plants and refineries is now corroborated by CBS News with a named Pentagon spokesman saying the department is 'locked and loaded' and only the final order outstanding.	Brent \$105–140; MOVE above 90; oil to 3–4; score 28–29 (political already at max).
Deal collapse — talks stall on terms	26%	Marginally lower only because part of this path has already been realised: the announced round did not convene. What survives is the bilateral Iran–Oman corridor negotiation, which Araghchi called near-final on 2 Aug and which Baghaei on 3 Aug described as temporary, sovereignty-conditioned and 'necessary but not sufficient'. The stated objectives remain incompatible — 'immediate, complete and total opening' against a strait that 'will in no way return' to its pre-war status.	Brent \$92–108; oil to 3; 30Y sustained above 5.20% with the 10Y above 4.65%; score 28.
Contained but violent — blockaded stalemate	16%	Higher. This is the path the tape itself is pricing: VIX at its lowest since 10 Jul, MOVE easing, Brent in a 74-cent range, while the strait stays shut on day 156 and no strike is launched. It is also the path where the score sits at 27 for weeks, because five of six channels are pinned at 5 and only oil can move.	Brent \$78–92; MOVE 75–85; risk premium \$6–14/bbl; score holds 27.
Regional relapse — Gulf energy infrastructure hit	13%	Marginally higher. The exposure is unchanged and the intent is now better documented: Jizan out to about 15 Aug, Abqaiq burn scars on four of six spheroids with no Aramco comment, Damietta status still unreported since the 29–30 Jul strike, effective spare capacity ~0.17 mb/d, and the Iraqi militia deadlines of 6 and 7 Aug pending.	Brent \$150+; emergency policy response; HY spreads above 500 bp; score 29–30.
Mediated pause — the ceasefire sticks	5%	Sharply lower, and the largest single fall in the map since it was rebuilt. The entire case for this line last edition was a cancelled strike package and an announced negotiation. The negotiation did not happen and Iran denies one is under way. What remains is the Oman corridor track, which is about managing a closed strait rather than ending a war.	Brent \$72–84; MOVE under 75; escalation→4 then 3, maritime→3–4 on verified traffic; score falls toward 21–23.

Probability shifts from the 3 Aug edition: mediated pause –7 (12→5), the largest single fall in the map, because the announced talks did not convene and Iran's foreign ministry stated on the record that it is not negotiating with Washington; full war +6 (34→40) and modal again, on the failed negotiation, the 'decapitation' framing and CBS's corroboration of strike planning against Iranian power plants and refineries with the Pentagon 'locked and loaded'; contained-but-violent +1 (15→16), the path the tape is actually pricing; regional relapse +1 (12→13) on unchanged exposure and two pending Iraqi militia deadlines; deal collapse –1 (27→26), lower only because part of it has already happened. Probabilities sum to 100.

6 · Watchlist · next 24 to 72 hours

The refunding statement, Wednesday 5 August at 8:30am ET — the single most consequential scheduled event on the calendar.

Treasury raised its July–September net marketable borrowing estimate to \$739bn on Monday, \$68bn above the 4 May projection of \$671bn, with \$628bn guided for October–December. The 6 May refunding held coupon sizes at 3Y \$58bn / 10Y \$42bn / 30Y \$25bn and promised no increase 'for at least the next several quarters.' Whether that guidance survives the upgrade is the question. The 30Y refunding leg auctions in the week of 10 August into a long end that closed 17.74 bp above the 13 May auction stop and has satisfied Stage-4 Threshold B on four consecutive closes.

AUTMUSAG's next print — the upgrade has fired, so the question is now whether it holds. The channel moved on 30 and 31 July at \$4.76. The series is blank for 3 and 4 August. A backfill materially below \$4.75 would not reverse the upgrade (hysteresis requires a sustained reversal past a wider threshold) but it would change the read on how durable the break is. Watch GasBuddy alongside it: its national average fell 0.8 cents on the week to \$4.05 on 3 August while diesel rose 7.1 cents to \$5.326, and Patrick De Haan attributes the product strength to Ukrainian strikes on Russian refining rather than to Hormuz.

Whether any US–Iran session actually takes place, and whether Oman confirms it. The escalation downgrade is now further away than it was, and reopening it requires more than another announcement: a session that demonstrably convened, mediator confirmation, an end to Tehran's public denial that talks exist, and no new strike, sustained across several sessions. Note the asymmetry — CENTCOM has issued no strike release since 29 July, so the absence of strikes is real; it is the presence of a negotiation that cannot be sourced.

The EIA Weekly Petroleum Status Report, Wednesday 5 August — and the SPR line in particular. No weekly has been released since the 29 July print for the week to 24 July: crude 404.5 mb and about 6% below the five-year average, gasoline 211.3 mb and 7% below, distillate about 10% below, refinery utilisation 97.2%, and SPR 307.7 mb after a 3.7 mb draw. Refinery utilisation at 97.2% with distillate 10% below average is the mechanism that keeps the political channel elevated independent of crude.

July payrolls on 7 August and July CPI on 12 August, into a market pricing a September HIKE. The FOMC held on 29 July at 3.50–3.75% by 9–3 with all three dissents FOR a hike. Polymarket had roughly 60% on a 25 bp September hike as of 2 August; no live CME FedWatch reading for 3–4 August could be sourced. Payrolls consensus is around +88k with unemployment at 4.2%. JOLTS for June is due today. Both prints land before the 15–16 September meeting, and 5Y5Y at 2.3376% says the market does not believe the inflation argument

has been won.

The 6 and 7 August Iraqi militia deadlines, and three series to re-verify. Ynetnews reported Kataib Hezbollah giving Baghdad until 6 August; Rudaw reported the Islamic Resistance in Iraq setting 7 August, with any response deferred until after Arbāeen. Both are above Tier 3 and both follow the 28–29 July US–Saudi strikes in Diyala. On the data side: JGLA has no 4 August print and is never carried forward; AUTMUSAG and SOFR are blank for 3 and 4 August; MOVE and VIX printed for 3 August but not 4 August.

7 · Source log · this edition

Tier 1 — primary market data. Bloomberg Terminal extract (US Iran BBG Data.xlsx, 153 data rows × 99 columns, restated front-month continuation series). Tickers: CO2/CL2 Comdty (front-month; last confirmed close \$81.09 / \$77.90 on 3 Aug, intraday \$81.92 / \$78.66 with a Brent high of 82.00 and low of 81.26); COA/CLA Comdty (active, unscored — \$84.63 / \$81.06); NGA (\$2.768), TZTA (€58.260) and JGLA (¥3,421 on the 3 Aug close, backfilled from the blackout flagged last edition; no 4 Aug print, flagged not carried); USGG2YR/5YR/10YR/20YR/30YR (30Y closed 5.2274% and 10Y 4.6755% on 3 Aug, a fourth consecutive close satisfying both Stage-4 legs; 5.2327% / 4.6858% intraday); USYC2Y10 (+43.407 close, +43.404 intraday); USGGBE10 (2.2622 close, 2.2603 intraday, within 0.3 bp of the pre-war anchor); USGG5Y5Y (2.3376 close, a fifth consecutive close above the 2.30% trigger; 2.3376 intraday); SOFRRATE (31 Jul backfilled at 3.66; blank 3 and 4 Aug, flagged not carried); MOVE (80.48 on the 3 Aug close, −2.54; no 4 Aug print) and VIX (15.86, lowest since 10 Jul; no 4 Aug print); DXY (99.897 close, 100.011 intraday, back above 100 for the first time since 29 Jul); AUTMUSAG (AAA all-grades pump — score reference; **31 Jul BACKFILLED at \$4.76, a second consecutive close above the \$4.75 trigger, which fires the political channel 4→5;** blank 3 and 4 Aug) and USRFRUSA (DOE regular spot, weekly — corroboration; \$4.096 for the week of 27 Jul, the 3 Aug print not yet in the extract or on the EIA release page). **Data-integrity note:** the stale-row check clears. The 3 Aug row has refreshed and differs from the intraday values published for it (Brent \$81.09 against \$81.56; 30Y 5.2274% against 5.2370%; MOVE an actual 80.48 against a carried 83.02), so it is a true close and every trigger test in this edition runs off it. Four previously dark series backfilled this extract: AUTMUSAG and SOFR for 31 Jul, and JGLA, MOVE and VIX for 3 Aug. The 27 Feb 2026 anchor was re-verified field by field and is unchanged.

Tier 1 — news and institutional. CBS News, The National, Euronews, ABC News, CNN, Bloomberg and The Hill (the announced 3 Aug talks; Baghaei's 'we are not negotiating with the United States at this time' and that Iran's delegation 'is not going anywhere'; US officials telling CBS that no new negotiations are planned; Trump's account that talks were under way 'at the request of Iran, backed by Saudi Arabia, backed by UAE and backed by Qatar', his 'last chance to sign a good document', 'no time constraint' and 'every last chance before decapitation' remarks, and his claim the strait could be open 'literally by tomorrow'); The National and ABC News (Baghaei on 3 Aug that the strait 'will in no way return to the status it was before February 28th', that the Oman route is temporary and 'necessary but not sufficient', and that the corridor concept is a single transit route replacing the northern and southern ones, with the toll disputed); Al Jazeera (Araghchi on 2 Aug that Iran–Oman negotiations are in 'final stages'; Pezeshkian on 3 Aug urging Washington to honour the June MoU); Oman Ministry of Foreign Affairs (the 23 Jun joint statement establishing a working group — the only signed instrument on record); CBS News, The Hill and the Jerusalem Post (US/Israeli preparation of strikes on Iranian power plants and refineries, Pentagon spokesman Sean Parnell 'locked and loaded', final orders not given); CENTCOM (no strike release since the 29 Jul IRGC strikes; the 28 Jul US–Saudi strikes in Iraq); UKMTO via Sharjah24 (the explosion beside a tanker about 20 nm north-east of Khasab, reported 2–3 Aug and treated as one incident); Kpler via Foreign Policy Journal (106 Hormuz crossings by 96 vessels in the week to 2 Aug against 98 the week before, 11 on 1 Aug and 9 on 2 Aug, 43 crossings route-undetermined against ~49% the prior week), Windward (19 crossings and 6 dark on 1 Aug; 1,130 GPS-jammed vessels in the Gulf, +173% on the 7-day average) and Lloyd's List Intelligence of 29 Jul (39 transits in the week to 26 Jul against 82, 70% untraceable on AIS, inbound Gulf traffic down more than 90%, war-risk cover 7.5–10% of hull value); IMF PortWatch via straits.live (23 Jul, 10 vessels against an 88/day baseline); Reuters, MT Newswires and the US Treasury (the 3 Aug borrowing estimates — \$739bn for July–September against \$671bn projected on 4 May, \$628bn for October–December, cash balances of \$950bn and \$850bn, \$190bn borrowed in April–June with a \$919bn end-June balance; the 5 Aug refunding statement and the 6 May guidance of 3Y \$58bn / 10Y \$42bn / 30Y \$25bn); OPEC and Rigzone (the 2 Aug JMMC and the 188k b/d September increase with its country split, next meetings 6 Sep and 4 Oct); IEA Oil Market Report of 10 July (effective OPEC+ spare capacity ~0.17 mb/d); EIA (no new weekly; the 29 July print for the week to 24 July stands — crude 404.5 mb and ~6% below the five-year average, gasoline 211.3 mb and 7% below, distillate ~10% below, refinery utilisation 97.2%, SPR 307.7 mb after a 3.7 mb draw — with the next release due 5 August; and the Gasoline and Diesel Fuel Update showing regular \$4.096 and on-highway diesel \$5.313 for the week to 27 July); GasBuddy (national average \$4.05 on 3 Aug, −0.8c on the week, diesel \$5.326, +7.1c); ISM via PR Newswire (July manufacturing PMI 55.6 against 54.0 expected, production 58.5, employment 52.8, prices 71.1); BLS (payrolls 7 Aug, CPI 12 Aug, JOLTS 4 Aug); Federal Reserve (the 29 July hold at 3.50–3.75%, 9–3 with three dissents for a hike) with Polymarket (~60% on a September hike as of 2 Aug; no live CME FedWatch reading for 3–4 Aug was sourceable); Reuters via IIR and Maritime Executive (Jizan targeted to restart about 15 August); Rudaw and Ynetnews (the Islamic Resistance in Iraq's 7 August deadline and Kataib Hezbollah's 6 August deadline, both following the 28–29 July US–Saudi strikes in Diyala).

Tier 3 — state media and combatant claims (labelled). Press TV reported on 3 August that Kataib Hezbollah says the US–Saudi attack 'made armed struggle necessary'; TASS carried Baghaei's 'necessary but not sufficient' formulation. The IRGC claim of 31 July to have stopped two US-escorted tankers in the strait remains without Tier 1 corroboration and is recorded, not used. **Corrections and re-verifications this edition:** (i) the line that the strait 'will never return to its pre-war state', attributed to Gharibabadi in the 31 July edition and withdrawn as uncorroborated on 3 August, is RESTORED on a Tier 1 attribution to Baghaei speaking on 3 August; (ii) the Iraqi militia deadline, demoted to Tier 3 on 3 August, is now corroborated above Tier 3 — Rudaw for the Islamic Resistance in Iraq's 7 August date and Ynetnews for Kataib Hezbollah's 6 August date, which appear to be distinct ultimatums rather than one misreported date; (iii) the report of US/Israeli planning against Iranian civilian energy infrastructure, carried on 3 August as a single-outlet Al Jazeera item, is now corroborated by CBS News with a named Pentagon spokesman, but the 'roughly two-week campaign' duration is NOT corroborated and is dropped — CBS describes a weekend-scale window; (iv) a Jerusalem Post live-blog entry of 3 August describing a 900 kg bomb dropped on a house in southern Iran could not be dated or corroborated and is not used.

8 · On-demand update protocol

#	Step	Detail
1	Refresh the Bloomberg extract	Parse the latest dated row (4 Aug, Tuesday) as intraday; re-map columns via the robust scan (front-month CO2/CL2; DXY resolves as DXY Index). The stale-row integrity check CLEARS: the 3 Aug row has refreshed with true closes that differ from the intraday values published for it. Four previously dark series BACKFILLED — AUTMUSAG and SOFR for 31 Jul, JGLA, MOVE and VIX for 3 Aug — and one of those backfills fired a channel. Currently dark and flagged, not carried: JGLA (no 4 Aug print), AUTMUSAG and SOFR (blank 3 and 4 Aug), MOVE and VIX (no 4 Aug print).
2	Recompute deltas	d/d vs the 3 Aug close; w/w vs the close five trading sessions back (28 Jul this edition); vs-pre-war against the 27 Feb 2026 anchor, re-verified field by field and unchanged.
3	Re-evaluate the six channels	Market channels move on confirmed closes only. Political stress fires 4→5 on the 31 Jul backfill at \$4.76 — a second consecutive close above the \$4.75 trigger. Score rises to 27/30. Oil held at 2 (last close \$81.09, \$13.91 below \$95). US inflation held at 5 (5Y5Y closed 2.3376%, a fifth consecutive close above 2.30%). Treasury held at 5 (30Y 5.2274%, 10Y 4.6755%, both Stage-4 legs on a fourth consecutive close; MOVE 80.48). Maritime and escalation are event-based and both maxed; the escalation downgrade candidate opened last edition is REVOKED because the announced talks did not convene.
4	Reconcile against the prior edition	Monday's US session tracked the Singapore-morning snapshot closely — the smallest reconciliation in a fortnight. My 3 Aug intraday Brent \$81.56 versus the \$81.09 close (−\$0.47); WTI \$78.42 vs \$77.90 (−\$0.52); 30Y 5.2370% vs 5.2274% (−0.96 bp); 10Y 4.6939% vs 4.6755% (−1.84 bp); 2Y 4.2456% vs 4.2373% (−0.83 bp); 2s10s +44.62 vs +43.41 bp; BE10 2.2787% vs 2.2622% (−1.65 bp); 5Y5Y 2.3367% vs 2.3376% (+0.09 bp); DXY 99.592 vs 99.897 (+0.305); TTF €56.300 vs €57.505; MOVE a carried 83.02 vs an actual 80.48 (−2.54); VIX a carried 15.99 vs an actual 15.86.
5	Update scenarios and watchlist	Re-rank catalysts: the 5 Aug refunding statement replaces the borrowing estimates as the dated supply test, with the 30Y leg in the week of 10 Aug; AUTMUSAG's next print now tests durability rather than direction; whether any US–Iran session convenes at all is the gate on the escalation downgrade; the EIA weekly and its SPR line land 5 Aug; payrolls 7 Aug and CPI 12 Aug precede the 15–16 Sep FOMC; Iraqi militia deadlines 6 and 7 Aug. Mediated pause 12→5, full war 34→40 and modal again, contained-but-violent 15→16, regional relapse 12→13, deal collapse 27→26.

9 · Methodology

Shock-score scale. Six transmission channels (maritime denial, oil, US inflation impulse, Treasury stress, political stress, escalation risk), each 0–5, summed to 0–30. Bands: 0–7 watch · 8–14 stress · 15–21 systemic-risk watch · 22–30 crisis. Market channels move only on a confirmed close through a trigger; escalation-risk and maritime denial are event-based. Hysteresis: upgrades fire on a sustained break, downgrades only on a sustained reversal past a wider threshold, deliberately, to avoid whipsawing. This edition is the clearest vindication of that rule the monitor has produced. On the upgrade side, political stress held at 4 on 3 August with one close above its trigger and fires today only because a second consecutive close arrived — the identical two-close construction that fired US inflation on 31 July. On the downgrade side, the escalation channel was NOT moved on 3 August despite a cancelled strike package and an announced negotiation, on the stated ground that an announcement is not a stand-down; the negotiation then did not take place, and a channel moved on that evidence would have had to be reversed within a single session — the 25–26 June error, repeated in the opposite direction. Event channels are governed by hysteresis exactly as market channels are.

Scale cap — now binding on five of six channels. Maritime and escalation have been pinned at 5/5 since 10 and 9 July, Treasury since 14 July, US inflation since 31 July, and political stress joins them today. **Only oil, at 2/5, retains any upward range** — three points in a thirty-point scale. Two consequences follow and readers should hold both. First, further geopolitical deterioration cannot raise this score; if the strike package that CBS reports as awaiting authorisation is executed, the number moves only if Brent closes above \$95. Second, the cap also hides improvement: a genuine de-escalation would not lower the score until it had persisted long enough to move an event channel off its maximum. A flat 27 from here should be read as a saturated scale, not as a stable situation.

Data integrity this edition. The stale-row check clears: the extract's 3 August row refreshed properly and its closes differ from the intraday values published for it (Brent \$81.09 against \$81.56, 30Y 5.2274% against 5.2370%, MOVE an actual 80.48 against a carried 83.02), so 3 August is a confirmed close and every trigger test runs off it. The more consequential finding is on the other side of the \$9.8 check, which is a two-way test: four series flagged as dark in the last edition have BACKFILLED — AUTMUSAG and SOFR for 31 July, and JGLA, MOVE and VIX for 3 August — and the AUTMUSAG backfill at \$4.76 is what fires the political channel. A blackout is not a value; it is a pending observation, and yesterday's caveats must be re-examined rather than carried. Currently dark and flagged rather than carried: JGLA has no 4 August print, AUTMUSAG and SOFR are blank for 3 and 4 August, and MOVE and VIX printed for 3 August but not 4 August. Where third-party sources disagree materially — Hormuz counts on different vessel universes (Kpler's all-crossings series is not comparable with its commodity-transit series, and neither is comparable with Windward's), the two Iraqi militia deadline dates, and whether the Khasab explosion was one incident or two — the disagreement is reported rather than resolved by preference, and the Bloomberg extract governs for every scored series.

Gasoline series. Political stress is scored on AUTMUSAG (AAA all-grades retail pump; pre-war \$3.52, peak \$5.18, latest confirmed print \$4.76 on 31 July — backfilled in this extract and the second consecutive close above the \$4.75 trigger, following \$4.76 on 30 July and exactly \$4.75 on 24, 27, 28 and 29 July — with 3 and 4 August blank). USFRUSA (DOE regular spot; pre-war ~\$2.94, peak \$4.50, latest \$4.096 for the week of 27 July) is tracked alongside as corroboration only; the weekly print due 3 August has not appeared in the extract or on the EIA release page. Neither series is re-based. GasBuddy's independently published national average (\$4.05 on 3 August, down 0.8 cents on the week, with diesel up 7.1 cents to \$5.326) is used only as an external cross-read, and its attribution of product strength to Ukrainian strikes on Russian refining is noted because it is a non-Hormuz driver of the same scored series. EIA's on-highway diesel, up 17.9 cents in the week to 27 July against gasoline's 9.5, is noted for the same reason: the binding constraint on the pump is refining capacity rather than crude.

Pre-war anchor (27 Feb 2026 close). Brent \$72.48; WTI \$67.02; 2Y 3.375%; 5Y 3.502%; 10Y 3.938%; 30Y 4.611%; 2s10s +55.64 bp; 5Y5Y 2.142%; 10Y BE 2.257%; MOVE 73.38; VIX 19.86; DXY 97.608; gasoline (AAA) \$3.52; Henry Hub \$3.06; TTF €31.23; Asia LNG ¥1,669. (Re-verified field by field — unchanged.) Brent +13.0%, WTI +17.4%, TTF +86.6%, Asia LNG +105.0%; the 30Y (+62.2 bp), 10Y (+74.8 bp), 5Y5Y (+19.6 bp), 10Y breakeven (+0.3 bp), MOVE (+7.10) and DXY (+2.40) sit above their anchors; VIX (−4.00) and Henry Hub (−9.6%) remain below pre-war.

Intraday caveat. The latest dated row is a Singapore-AM snapshot and US hours set the close. This edition is the counter-example to the last one: Monday's closes came in 47 cents below my Brent print and within two basis points across the curve, where Friday's had been \$1.97 and 7.59 bp above it. The error in the snapshot is regime-dependent rather than random — it is large when the US session has something to trade and small when it does not — so a small gap is evidence about the session, not evidence that the method has improved. Recent Brent gaps between my snapshot and the subsequent close: +\$3.10, −\$1.81, −\$2.01, −\$3.32, −\$0.84, +\$1.97, −\$0.47. CL2 remains an artifact against active CLA, and with the September Brent contract expired the front-month/active gap prints \$2.71 in this morning's snapshot; the scored CO2 continuation series is unaffected. Triggers are evaluated on confirmed closes; escalation-risk and maritime denial are event-based. Restated-series levels are not comparable with pre-restatement editions, though the directional analysis is continuous.